

The framework checks for the quality of a company's accounting using eleven ratios.

Exhibit 72: Accounting Checks

Category	Ratios
P&L mis-statement checks	Cumulative CFO/Cumulative EBIDTA
	Volatility in depreciation rate
	Volatility in non-operating income (NoI) (as a percentage of net revenues)
	Provisioning for doubtful debts as a proportion of debtors more than six months
Balance sheet mis-statement check	Cash yield
	Change in reserves (excluding share premium) to net income excluding dividends
	Contingent liability as a proportion of net worth
Pilferage checks	Miscellaneous expenses as a proportion of total revenue
	CWIP to Gross block
	Cumulative CFO plus CFI to median revenues
Audit quality checks	CAGR in auditors remuneration to CAGR in consolidated revenues

Source: Ambit Capital

[Exhibit 73](#) highlights the importance of the 'cleanness' check. If we rate the BSE 500 companies on the basis of 'cleanness' and divide them into ten groups (or deciles), data shows that the companies with the worst scores, i.e. the least clean companies, gave the worst returns to shareholders.